

Multiple Choice (10 marks)

1. If OLS is applied separately to each equation that is part of a simultaneous system, the resulting estimates will be
 - (a) Biased, inconsistent, and inefficient.
 - (b) Biased but consistent
 - (c) Unbiased and consistent
 - (d) Biased but inconsistent for one equation only
 - (e) Unbiased and efficient
2. If a bank has 500 in checking deposits and the bank is required to reserve 50 what is the reserve ratio? How much does the bank have in excess reserves?
 - (a) 5 percent \$475 in excess reserves
 - (b) 10 percent \$50 in excess reserves
 - (c) 30 percent \$350 in excess reserves
 - (d) 60 percent \$200 in excess reserves
 - (e) 80 percent \$100 in excess reserves
3. In the equation $GDP = C + I + G + X - M$ X stands for
 - (a) exports.
 - (b) exports minus imports.
 - (c) imports.
 - (d) gross domestic product.
 - (e) consumption.
4. Assume the reserve requirement is five percent. If the FED sells \$10 million worth of government securities in an open market operation then the money supply can potentially
 - (a) decrease by \$200 million.
 - (b) decrease by \$100 million.
 - (c) increase by \$200 million.
 - (d) decrease by \$10 million.
 - (e) increase by \$500 million.
5. Suppose that there are only two goods: x and y. Which of the following is NOT correct?

- (a) One can have comparative advantage in producing both goods.
- (b) One can have both an absolute advantage and a comparative advantage in producing x.
- (c) One can have absolute advantage and no comparative advantage in producing x.
- (d) One can have comparative advantage and no absolute advantage in producing x.

True / False (10 marks)

Answer True or False

- 6. True or False: The demand curve for a perfectly competitive firm's product is downward sloping and equal to the market demand curve.
- 7. True or False: Investment banks, insurance companies, and foreign exchange markets are the main sources of money creation in an economy.
- 8. True or False: When demand for grapes increases alongside an increase in supply, the equilibrium quantity rises, but the price change is unclear.
- 9. True or False: Conciliation, mediation, voluntary arbitration, and compulsory arbitration are effective methods for resolving labor-management impasse.
- 10. True or False: After 4 years, your real cash balances will be approximately \$599.69 when adjusted for 12% annual inflation.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the relationship between currency exchange rates and arbitrage opportunities. Given the price of a British pound and a German mark, calculate the expected exchange rate and analyze how an Englishman could profit from market discrepancies.
- 12. Discuss the relationship between Keynesian economics and the market economy, specifically addressing whether Keynes' advocacy for government intervention implies opposition to market principles.

End of Paper